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Stanbic Holdings FY'23 Earnings Note

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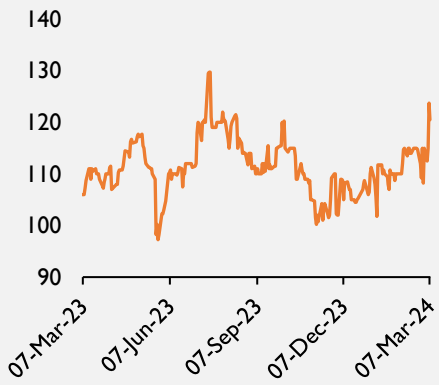


Stanbic Holdings FY'23 Earnings Note

March 12th , 2024

Ticker Information	
NSE Code:	SBIC
Issued Shares:	290,521,872
52-week high:	KES 129.75
52-week low:	KES 97.25

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	7.6%	14.8%	8.6%	13.7%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation	Current Price	Target Price
BUY	**KES 120.00**	**KES 139.45**

Summary

- **Stanbic Holdings exceeded in-house expectations to record a strong 34.2% y/y growth in net earnings to KES 12.16Bn throughout 2023.** Revenues soared 35.4% y/y on account of a volume-driven jump in net interest income and a 19.3% y/y rise in non-interest income. The performance now cements a strong double-digit return corridor for the third consecutive year.
- **The Board of Directors recommended a final dividend of KES 14.20, added to the earlier issued interim dividend of KES 1.15, raised the total dividend for FY'23 to KES 15.35.** – This distribution came 8.1% higher than our upper-bound expected dividend of KES 14.50 and **21.8%** higher than the total dividend of KES 12.60 issued in FY'22.

Key Highlights

- **Superior Core Performance:** 2023 performance was shaped by a faster surge in operating incomes relative to operating expenses. Net Interest Income soared 35.4% y/y to KES 25.65Bn largely driven by organic loan demand, bolstered by the loan up-pricing under the risk-based pricing regime. The income mix tilted to 62:38 from 59:41 a year prior in favor of net interest income. The faster surge in yields on interest-earning assets relative to the cost of funds led to a 77bps widening of net interest margins to 5.97%. The Cost-to-Income ratio (excluding loan-loss provisions) declined 320bps y/y to 43.5% pointing to enhanced operating efficiency.
- **Resilient Asset Quality:** Gross Non-Performing Loans (NPLs) decreased by 6.97% y/y to KES 26.47Bn, prompting a 530bps drop in the NPL ratio to 9.5%. This came on the back of increased selectivity and tighter lending standards. Management elected to dial up loan impairment provisions by 26.1%, despite the general decline in credit delinquencies over the period. This signals a cautious approach and prudence in a highly uncertain macro environment.

Overweight Loans and Advances:

The Group's customer loan book expanded 33.5% y/y to KES 356.22Bn faster than the 14.1% y/y growth in customer deposits to KES 347.24Bn. This invariably led to a 14.9% y/y uptick in the loan-to-deposit ratio to 102.6% - induced by attractive interest margins under risk-based credit pricing. About 70% of the lending portfolio was tilted towards corporate lending with low NPL exposure. On the flipside, the holdings of government securities declined 45.7% y/y to KES 45.24Bn prompted by increased liquidity needs over the period.

Balance Sheet Rotation:

The Group recorded faster growth among its subsidiaries tail winded by improved client flows in the South Sudan business and increased cross-selling of standalone insurance products in bancassurance. The lender similarly recorded a large rotation of the balance sheet from local currency lending to foreign currency deposits on account of improved performance of customer franchises and higher interbank placements. Funding cost pressures increased in the period as signified by the 10% decline in the CASA ratio to 76% - signaling an increased attention towards fixed deposits.

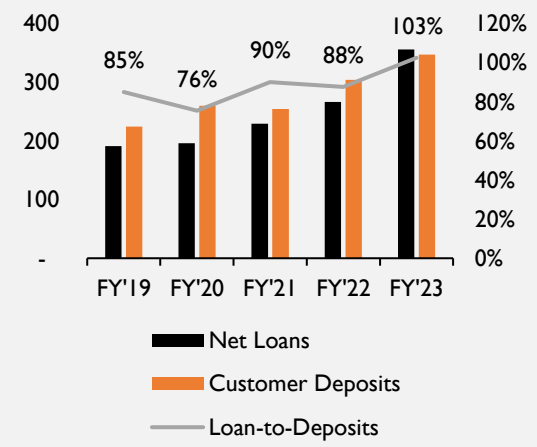
Outlook:

We expect growth of the Group will be driven by expanding trade finance corridors, inexpensive loans and deposits mobilization, and enhanced credit risk monitoring. We anticipate faster growth in non-funded income supported by bancassurance cross selling and expanding trade finance channels. We expect the loan book quality will remain resilient, underpinned by management's steadfast commitment to robust risk management practices across its portfolio. However, macroeconomic headwinds are likely to pile pressure on unsecured lending.

Recommendation

- **We maintain our BUY recommendation on Stanbic Holdings on account of its accelerating return on equity and agile revenue growth.** The announcement of the KES 14.20 final dividend, coupled with the earlier issued interim dividend of KES 1.15 lifted the 2023 total dividend to **KES 15.35** per share. At the current market price, the stock is trading at P/E ratio of **3.9x** and a P/B ratio of **0.7x.** Our one-year target price for Stanbic currently stands at KES **139.45** - representing a c.**16.2%** upside potential from current levels.

Chart 2: Overweight Loans and Advances



Source: Company filings, AIB-AXYS Research.

Chart 3: Widening Net Interest Margins

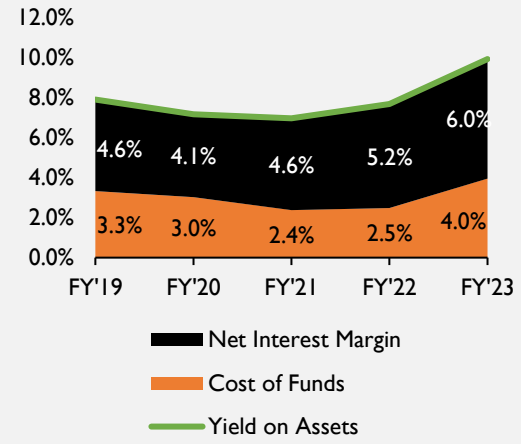
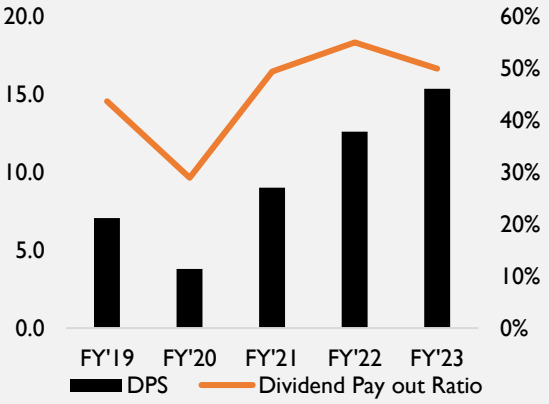


Chart 4: Dividend Payout Ratio



Source: Company filings, AIB-AXYS Research.

Income Statement	FY'19	FY'20	FY'21	FY'22	FY'23	y/y Change
Net Interest Income	13.35	12.80	14.37	18.95	25.65	▲ 35.4%
Net non-Interest Income	11.43	10.44	10.62	13.14	15.67	▲ 19.3%
Total Operating income	**24.78**	**23.24**	**24.99**	**32.08**	**41.32**	▲ 28.8%
Loan Impairment Provisions	(3.15)	(4.88)	(2.52)	(4.94)	(6.24)	▲ 26.1%
Total Operating expenses	(13.92)	(12.13)	(15.23)	(19.91)	(24.22)	▲ 21.7%
Profit before tax	**7.71**	**6.23**	**9.76**	**12.17**	**17.09**	▲ 40.4%
Profit after tax	**6.38**	**5.19**	**7.21**	**9.06**	**12.16**	▲ 34.2%
Core EPS	16.14	13.13	18.23	22.92	30.75	▲ 34.2%
DPS	7.05	3.80	9.00	12.60	15.35	▲ 21.8%

Balance Sheet	FY'19	FY'20	FY'21	FY'22	FY'23	y/y Change
Government Securities	70.08	87.58	59.54	83.55	45.34	▼ (45.7%)
Loans and Advances	191.19	196.30	229.32	266.83	356.21	▲ 33.5%
Total Assets	**303.62**	**328.59**	**328.87**	**399.83**	**459.28**	▲ 14.9%
Customer Deposits	224.67	259.97	254.59	304.32	347.24	▲ 14.1%
Total Liabilities	254.59	276.86	272.42	337.63	390.73	▲ 15.7%
Total Equities and Liabilities	**303.62**	**328.59**	**328.87**	**399.83**	**459.28**	▲ 14.9%

	FY'19	FY'20	FY'21	FY'22	FY'23	y/y Change
Spreads Analysis						
Yield on Assets	7.9%	7.2%	7.0%	8.0%	10.8%	▲ 2.8%
Cost of Funds	3.3%	3.0%	2.4%	2.5%	4.0%	▲ 1.5%
Net Interest Margin	4.6%	4.1%	4.6%	5.2%	6.0%	▲ 1.3%
ROaE	13.6%	10.3%	13.3%	11.5%	19.2%	▲ 7.7%
ROaA	2.1%	1.6%	2.2%	1.8%	3.0%	▲ 1.2%
Profit Margin	25.7%	22.3%	28.8%	28.2%	29.4%	▲ 1.2%
Operating Efficiency						
Cost to Income Less LLP	43.5%	31.2%	50.9%	46.7%	43.5%	▼ (3.1%)
Cost to Assets	3.5%	2.2%	3.9%	3.7%	3.9%	▲ 0.2%
Loan to Deposit	85.1%	75.5%	90.1%	87.7%	102.6%	▲ 14.9%
Asset Quality						
NPL	9.6%	11.8%	9.3%	14.8%	9.5%	▼ (5.3%)
NPL Coverage	57.1%	60.6%	58.1%	63.1%	70.4%	▲ 7.4%
Cost of Risk	1.6%	2.5%	1.1%	1.9%	1.8%	▼ (0.1%)
Capital Adequacy						
Core Capital/TRWA	15.2%	16.0%	15.3%	13.8%	13.0%	▼ (0.8%)
Total Capital /TRWA	18.3%	18.1%	17.3%	16.8%	16.6%	▼ (0.2%)
Liquidity	58.4%	56.4%	47.9%	45.2%	40.3%	▼ (4.9%)



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